# QLmonthly April 2026 [1]

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[1]Based on Ellieroth & Michaud, "Quits, Layoffs, and Labor Supply" Institute Working Paper 94 (2024)

# Contents

1. Recent Developments in Layoffs, Quits, and Job Finding
   Our reading: Stable, steady labor market.
2. This Month's Special Topic: Revisiting the role of participation in unemployment dynamics.

# Layoffs Show New Signs of Decline

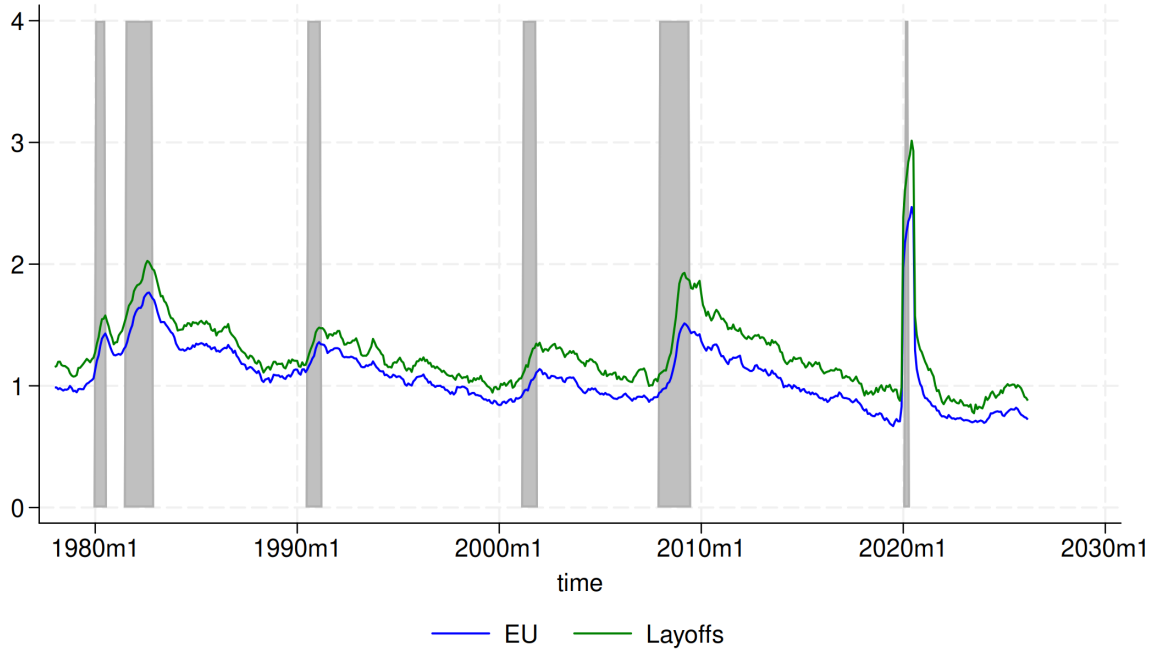


Figure: Prime age monthly Employment to Unemployment (E-to-U) flows and layoffs to non-employment from CPS household survey.

- Layoffs and flows from Employment to Unemployment (EU) decline; layoffs as low as end of 2024

# Quits Maybe on the Rise

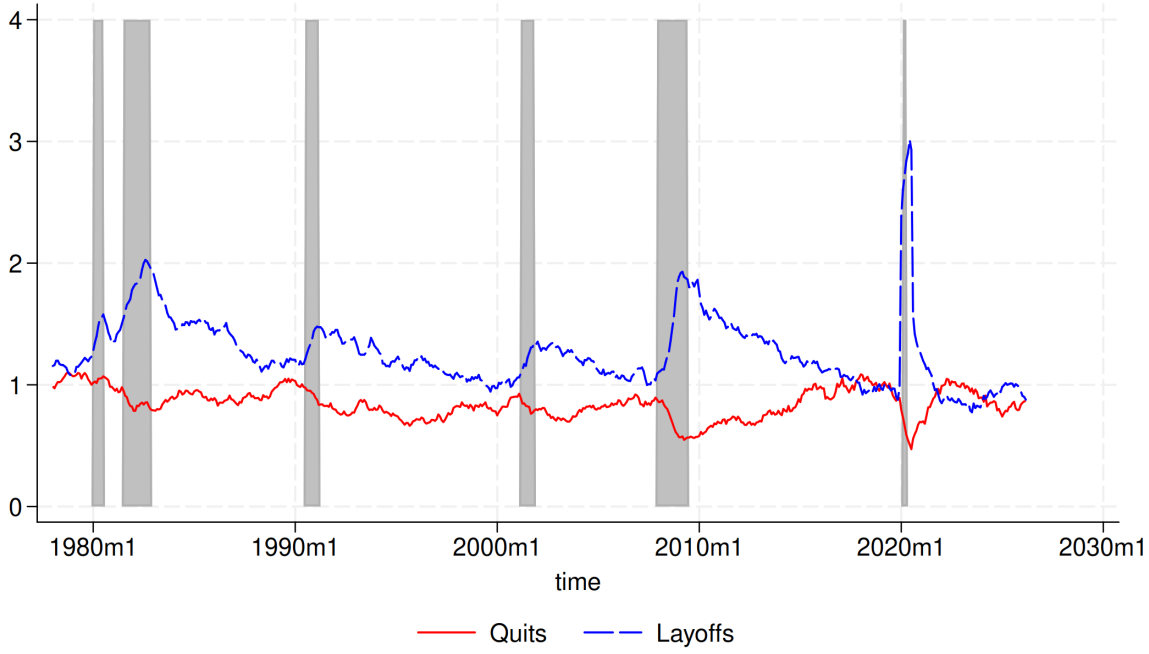


Figure: Quits and Layoffs to non-employment

- Quit rates currently at 1.13% which is an outlier compared to quit rates around 0.9% in the previous 6 months.
- Quits and layoffs equal right now.

# Job finding rates from Unemployment (U) and Non-participation (N) Show Early Signs of Stabilization

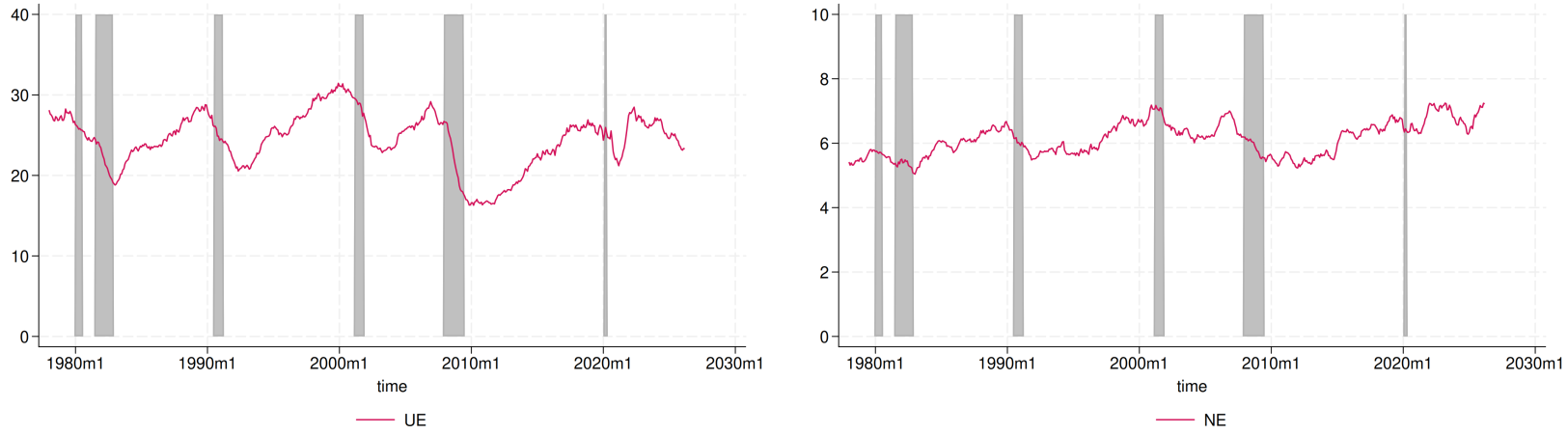


Figure: Job finding rates from unemployment (left) and non-participation (right) for Prime Age Workers

- In the past two months, job finding rates from U stopped steady decline; need more data to tell for sure
- The rise in job finding rates from N show similar signs of leveling off.

# What do we make of this? Nothing to Worry!

Recap: Household survey (CPS) indicates:

- Quits and layoffs signal a steady labor market.
  - Rise in quits + decline in layoffs signal steady labor market.
- Job finding rates from U and N show early signs of stabilization
  - The decline in job finding from U as well as the rise in job finding from N appear to have leveled off.
- Layoffs and EU flows in sync
  - Higher than usual labor force exits of 2025 have declined.

**Our reading: Flows signal steady labor market with no red flags in recent developments.**

## Discussion of the Month

## Re-visit: Role of Participaiton in Unemployment Dynamics

# Participation Neutral Unemployment

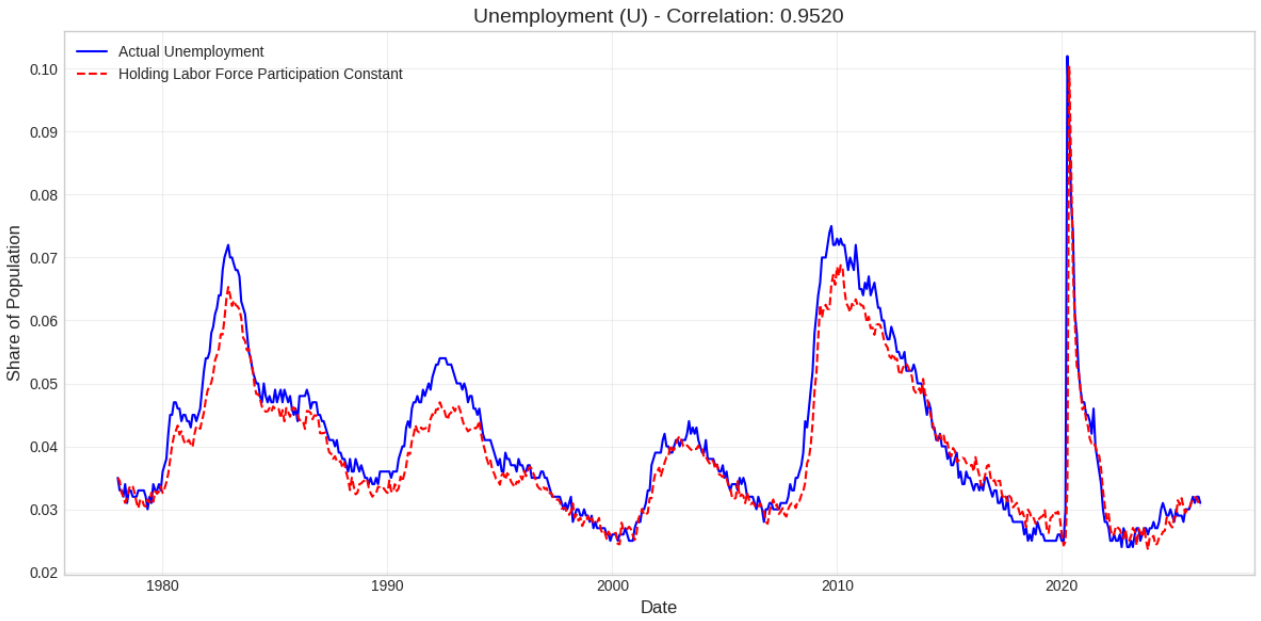


Figure: Actual and Participation Neutral Prime-age Upop

- Laid off workers "not looking for a job" not counted as unemployed.
  - Make up ∼40% of layoff lately, a record sustained share.
- We construct "Participation Neutral Unemployment" to neutralize fluctuations in this share
  - Solve for constant (a) share of laid off to unemployment; (b) NU flows; (c) UN flows, to max correlation with official Upop

# Participation Neutral Unemployment

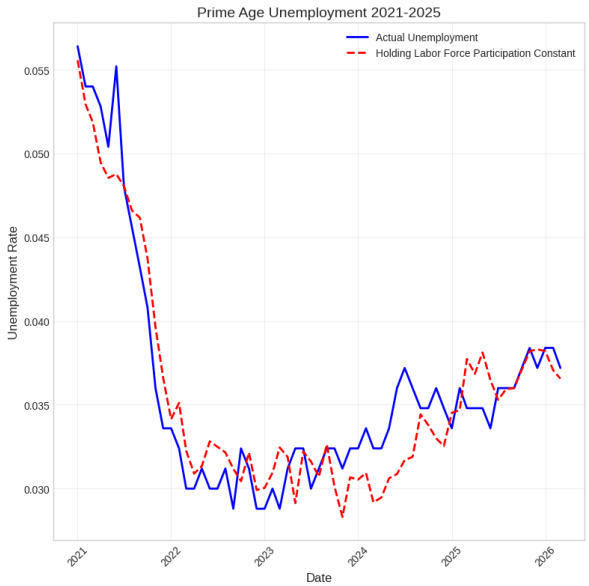


Figure: Measured and Participation Neutral Prime-age Upop

- Changes in participation masked steady 2024-25 unemployment growth
  - Measured Upop: pause in U growth 9/2024 - mid-2025
  - Participation Neutral Upop: steady growth 2024 to mid-2025
- Recent leveling and possible decline in unemployment NOT driven by labor force exits!
  - Since mid-2025 the series move together.
  - Rise in mid/late 2025 also not driven by entrants.